Harborlight Health Partners - Covenant Compliance Review

Borrower: Harborlight Health Partners

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Summary:

Harborlight Health Partners, a physician practice management company and Private Credit Fund II borrower since March 2024, delivered its first-quarter 2026 compliance certificate. Leverage came in slightly above management's plan but within covenants, and no default has occurred. Headroom has narrowed relative to underwriting, so we are placing the credit on the watch list for closer monitoring.

Background:

Harborlight provides management services to multi-specialty physician groups, including revenue cycle and billing, payer contracting, staffing, purchasing and practice technology. It has grown mainly by acquiring independent practices and moving them onto its billing and scheduling systems. Our first lien term loan is secured by substantially all assets of the company and its management services subsidiaries.

Covenant compliance, first quarter 2026:

- Total leverage: below the covenant maximum but slightly above plan; headroom is the narrowest since closing.

- Fixed charge coverage: compliant, modestly below plan.

- Minimum liquidity: compliant.

- EBITDA adjustments: we reviewed integration and one-time costs added back under the credit agreement definition; they are within the permitted cap and consistent with prior quarters.

- Reporting: certificate and quarterly financials delivered on time.

Drivers:

On a follow-up call, CFO Nina Castillo attributed the variance to three factors: higher physician compensation and locum coverage costs, slower collections at recently acquired practices during their billing system conversion, and softer patient volumes early in the quarter. She expects the collections backlog to clear as the conversions settle and has frozen non-clinical hiring. Management has also paused new practice acquisitions until leverage returns to plan. Nina Castillo was forthcoming, and the monthly flash reports she shared for April and May show collections improving.

Assessment:

The variance is modest and operational rather than structural. Reimbursement pressure across the sector is a background concern, but the shortfall is mostly collection timing and cost inflation that management can address. Liquidity is adequate, and the minimum liquidity covenant is met with room to spare. Our concern is the trend: further slippage in the second quarter would bring the leverage covenant into focus, and the acquisition strategy that drove growth is on hold.

Watch list and monitoring:

- Placed on the watch list as of this review; internal rating unchanged for now.

- Monthly financial statements and revenue cycle metrics (days in accounts receivable, collection rates) in place of quarterly reporting.

- Monthly call with Nina Castillo until the second-quarter certificate is received and reviewed.

- Rating to be reassessed on that certificate; a downgrade will be considered if leverage does not move back toward plan.

- Watch list status reported to Marcus Bell and included in the monthly watch list report to the Risk Committee.

Recommendation:

No change to terms at this stage. Maintain the position, apply enhanced monitoring and revisit after second-quarter results.

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